CITY OF UNION CITY MEASURE II

II "Union City Essential Services Extension Measure. To maintain critical city services, including 9-1-1 emergency response/paramedics/ fire protection; street/pothole repair; neighborhood police patrols; crime/gun violence prevention programs; youth/senior programs; and other city services, shall the measure extending the City of Union City's existing voter-approved utility users tax for 9 years at the current 5% rate (no increase), providing $7,000,000 annually, with senior/low-income exemptions, annual audits, and all funds locally controlled, be adopted?"	**YES** **NO**

CITY ATTORNEY'S IMPARTIAL ANALYSIS OF MEASURE II

The City Council of the City of Union City is submitting to the voters the question of whether to approve an ordinance that would extend an existing five percent (5%) Utility Users Tax ("UUT") on telecommunications (including landline telephone and cell phone services), video (regardless of the technology used or the content of programming), and electricity and gas services within the City. The UUT is based upon the amount charged by each service provider for the services used.

If approved, Measure II would continue the existing UUT first approved by voters in 2020 for an additional nine (9) years until December 31, 2037, without a tax rate increase.

Because Measure II does not limit the use of UUT revenue, it is a "general tax," and the funds provided are available for any legitimate governmental purpose. As noted in the ballot question, examples of uses of revenue from the UUT include 911 emergency response and paramedic services, fire protection services, street and pothole repair, neighborhood police patrols, crime and gun violence prevention programs, youth and senior programs and other city services. Measure II would generate approximately $7 million in funds annually that are legally required to be used in Union City for local city services that cannot be taken by the State of California or Alameda County.

Measure II would continue to provide approved applicants with an exemption from payment of the UUT for senior citizens who are seventy (70) years or older and low-income persons of any age, including those who are enrolled in the Pacific Gas & Electric Company CARE Program ("California Alternate Rates for Energy").

Measure II would continue the requirement for annual financial audits of UUT collections and expenditures to be performed by a qualified and independent third party. The results of the annual audits will be available to the public.

A "Yes" vote is a vote to approve the extension of the voter-approved UUT for nine years at the current rate. A "No" vote is a vote to not extend the UUT and the UUT would no longer be levied after December 31, 2028. Measure II will be approved if it receives a simple majority of "Yes" votes of those voting on the Measure.

The above statement is an impartial analysis of Measure II. If you desire a copy of the proposed ordinance, please call the City Clerk's office at 510-675-5448 and a copy will be mailed at no cost to you.

DATED: 7/27/2026

s/KRISTOPHER J. KOKOTAYLO
City Attorney

ARGUMENT IN FAVOR OF MEASURE II

Vote YES on II to protect essential services in Union City WITHOUT INCREASING TAXES!

The number of 9-1-1 calls for medical emergencies in Union City is increasing. In the event of a heart attack, stroke, medical emergency, or accident, **seconds are the difference between life and death.**

At certain times, Union City has **just four on duty police officers serving our community of nearly 70,000 residents**. Union City's Police Department receives the lowest police funding per resident compared to similar local cities.

Aging streets have potholes that need repairs to prevent more expensive reconstruction after streets deteriorate.

Amidst these funding challenges, **an important source of local funding is set to expire**, Union City's utility users tax. If it expires, Union City would **lose approximately $7,000,000 in annual funding**, forcing deep cuts to essential services that **keep us safe** and **protect our quality of life**.

Voting **YES on II** renews this funding at the current rate **without increasing taxes. Locally controlled funds** from Measure II will continue supporting **local needs**, including:

- Maintaining rapid 9-1-1 emergency response
- Protecting paramedic services
- Maintaining fire protection services
- Reducing crime and gun violence
- Repairing streets and fixing potholes
- Maintaining neighborhood police patrols

Voting **YES on II** continues mandatory **fiscal accountability, transparency and local control,** including:

- Public disclosure of all spending and annual public reports to the community
- An independent oversight committee and annual independent financial audits
- All funds must be used locally for services in Union City and cannot be taken away by the state or federal governments
- Seniors and low-income residents can apply for an exemption

Measure II ensures **large businesses pay their fair share** so that homeowners don't shoulder the entire cost of keeping Union City safe.

Please join Union City firefighters, police officers, small business owners, elected leaders, and longtime residents in voting YES on II to protect essential services WITHOUT INCREASING TAXES!

s/GARY SINGH
Mayor

s/IAN HOBSON
President, Union City Police Officers Association

s/JASBIR KAUR
Member, Sales Tax and Utility Users Tax Oversight Committee

s/JIM NAVARRO
President, Union City Chamber of Commerce

s/ROSALINDA CANLAS
Retired New Haven Unified School District Board Trustee

REBUTTAL TO ARGUMENT IN FAVOR OF MEASURE II

Vote NO on Measure II, Union City's Electricity, Phone, Internet, and TV Tax.

Living here already costs too much. This Tax makes Union City even less affordable.

This Tax adds 5% to your utility bills (electricity, gas, telephone, internet service, cable television) and gives it to the Union City Council to spend however *they* want.

The more **Big Corporations charge *you* for utilities**, the *higher* the Taxes the City collects. The **average cost is $107 per Union City resident *every year***!

When the City started the Tax in 2020, it promised it was "temporary … in response to COVID-19." **The City has broken its promise.** The Pandemic is over, but now the City asks you to renew its "temporary" Tax until 2037.

More False Promises: Measure II doesn't guarantee *one dime* would be spent on emergency response, police, or repairing streets. **They're tricking you.**

You already pay lots of taxes to the City, including property taxes. **Union City's Sales Tax (10.75%) is among the highest in California**. Local small businesses are suffering.

You can't trust the City to spend your money wisely. It has total pension liability of $164,629,180.00 (2023). **Will the City use this Tax to bailout its debt, mismanagement, and bad decisions?**

The City should stop its destructive "Quarry Lakes Parkway" project, which would cost more than $308,000,000.00. It'd **channel Fremont's traffic into Union City**, further congesting neighborhood streets and major roads. It's a **giveaway to greedy real estate developers**. It'd also support **massive overdevelopment of our beautiful Union City Hills**.

Vote NO on Measure II.

s/Alameda County Taxpayers' Association
by MARCUS CRAWLEY, President

Date: August 7, 2026

NO ARGUMENT AGAINST MEASURE II WAS SUBMITTED

FULL TEXT OF MEASURE II

ORDINANCE NO. 2026-XXX

AN ORDINANCE OF THE CITY OF UNION CITY AMENDING CHAPTER 3.28 OF THE UNION CITY MUNICIPAL CODE RELATING TO THE UTILITY USERS TAX

WHEREAS, the City of Union City (the "City") is authorized to levy a Utility Users Tax ("UUT"); and

WHEREAS, Chapter 3.28 of the Union City Municipal Code establishes a UUT of five percent (5%) within the City; and

WHEREAS, the UUT is paid by recipients of telecommunications, video (including all means and methods of transmission), electric, and gas utility services, collected by the utilities as part of regular billing, and remitted to the City; and

WHEREAS, the UUT will automatically expire on December 31, 2028; and

WHEREAS, the UUT generates approximately seven million dollars ($7,000,000) annually for the City's General Fund; and

WHEREAS, the City wishes to maintain vital services for thousands of Union City citizens every year; and

WHEREAS, extending voter-approved locally controlled funding with no increase in tax rate will maintain public safety, pothole repair and street maintenance, crime prevention, parks and recreation programs, and other city services with funding that cannot be taken by the State; and

WHEREAS, the public has indicated that maintaining 9-1-1 emergency response times and fire protection is a top priority; and

WHEREAS, continuing this local funding will help keep community police officers on the streets to maintain successful crime-fighting efforts that keep Union City residents safe; and

WHEREAS, Council wishes to prevent serious cuts to City services, which it would have to consider if another revenue source is not identified; and

WHEREAS, voter-approved, locally controlled funding has helped maintain the City's emergency reserves and fiscal stability; and

WHEREAS, by law, all funds from an extension of existing, voter-approved local funding must continue to stay in Union City to maintain local services – no funds can be taken by Sacramento or the federal government; and

WHEREAS, UUT revenues will continue to be included in the City's annual financial statements and subject to an annual independent financial audit, with the audit made available to the public; and

WHEREAS, Union City voters approved the UUT in November 2020; and

WHEREAS, the UUT is and was always intended to apply to all means of transmission for video services, including transmission via the internet and streaming services. The immediately preceding sentence is declarative of existing law; and

WHEREAS, the People of the City of Union City desire to extend the term of the UUT, without a rate increase, for an additional nine (9) year period.

NOW, THEREFORE, the People of the City of Union City do ordain as follows:

Section 1. Recitals.

The above recitals are true and correct and made a part of this Ordinance.

Section 2. Municipal Code Amendments.

Section 3.28.050, "Video users tax", Subsection (A) "Video Users Tax Rate", of the Union City Municipal Code is hereby amended to read as follows (deletions in ~~strikethrough~~; additions in *italics*):

3.28.050 - Video users tax.

A. Video Users Tax Rate. There is hereby imposed a tax upon every person in the City using video services from a ~~video provider~~ *video service supplier*. The tax imposed by this section shall be at the rate of five percent of the charges made for such services and shall be collected from the service user by the video service supplier or its billing agent. There is a rebuttable presumption that video services that are billed to a billing or service address in the City are used, in whole or in part, within the City's boundaries, and such services are subject to taxation under this chapter. If the billing address of the service user is different from the service address, the service address of the service user shall be used for purposes of imposing the tax.

Section 3.28.250, "Termination of utility users tax" of the Union City Municipal Code is hereby amended to read as follows (deletions in ~~strikethrough~~; additions in *italics*):

3.28.250 - Termination of utility users tax.

The levy of taxes as provided in this chapter shall expire on *December 31, 2037*, unless reenacted by a separate ordinance approved by a vote of the People of the City of Union City conducted pursuant to law. The termination of the levy of taxes as provided herein shall not terminate the obligation to pay taxes levied on services used prior to such date. Taxes levied prior to *December 31, 2037*, shall remain a debt payable to the City. All provisions of this chapter, except those relating to the levy of taxes, shall continue in full force and effect after such date.

Section 3. Severability.

If any provision of this Ordinance or the application thereof to any person or circumstance is held invalid, the remainder of the Ordinance, including the application of such part or provision to other persons or circumstances, shall not be affected thereby and shall continue in full force and effect. To this end, provisions of this Ordinance are severable. The People of the City of Union City hereby declare that they would have passed each section, subsection, subdivision, paragraph, sentence, clause, or phrase hereof irrespective

of the fact that any one or more sections, subsections, subdivisions, paragraphs, sentences, clauses, or phrases be held unconstitutional, invalid, or unenforceable.

Section 4. Amendment or Repeal.

Chapter 3.28 of Title 3 of the Union City Municipal Code may be repealed or amended by the City Council without a vote of the People. However, as required by Article XIII C of the California Constitution, voter approval is required for any amendment provision that would increase the rate of any tax levied pursuant to this Ordinance. The People of the City of Union City affirm that the following actions shall not constitute an increase of the rate of a tax:

A. The restoration of the rate of the tax to a rate that is no higher than that set by this Ordinance if the City Council has acted to reduce the rate of the tax;

B. An action that interprets or clarifies the methodology of the tax or any definition applicable to the tax, so long as interpretation or clarification (even if contrary to some prior interpretation or clarification) is not inconsistent with the language of this Ordinance;

C. The establishment of a class of persons that is exempt or excepted from the tax or the discontinuation of any such exemption or exception other than the discontinuation of an exemption or exception specifically set forth in this Ordinance; and,

D. The collection of the tax imposed by this Ordinance, even if the City had for some period of time failed to collect the tax.

Section 5. Codification.

Following voter approval of this Ordinance, the City Clerk, in consultation with the City Attorney, is authorized and directed to codify the applicable provisions of this Ordinance in the Union City Municipal Code.

Section 6. Publication and Effective Date.

If this Ordinance is approved by a majority of the voters voting on the measure at the November 3, 2026, election, the Ordinance shall be considered adopted on the date the City Council declares the election results and shall take effect ten (10) days thereafter, pursuant to Elections Code Section 9217. Within fifteen (15) days after adoption, the City Clerk shall cause this Ordinance to be published once in *The Fremont Argus*, a newspaper of general circulation in Alameda County and circulated in the City of Union City, in accordance with Government Code Section 36933.